A bull market has the lulling allure of a lovely, soft-voiced woman, but it, too, can become a loathsome beast in an instant. What should you do to foil the market witch in the real world? Once you become aware that you are under a spell, your first reaction is to flee and sell everything. But we know market timing doesn't work. A market may indeed be "overpriced," but it can stay overpriced for years. Bull markets come in all lengths. Your only defense against every sort of market jitters is to think like a long-term investor. If you stare the monster down with focus, patience, and a calm eye, you will be rewarded in the end.

Bull markets come in all lengths.

The Human Factor

Even if one could time the market with sufficient skill to come out ahead of a buy-and-hold strategy, there is another serious consideration: the toll on the human psyche, whether the investor is moving in and out of individual stocks or in and out of mutual funds.

Let's say you are quite good at discerning when the market is over- or undervalued. Only by occasional chance, however, would you be able to call the exact turning points—no one rings a bell, you know—so you have to face weeks and months when you are out of the market while prices are still rising, or in the market when it is still falling. Every day you have to tell yourself that you are right and most investors are wrong. That kind of pressure takes its toll.

Probably the toughest exercise for the timer is deciding, once out, when to get back in. A timer has to be right twice.

Suppose you sell out. The market drops for a few days and you are starting to feel very proud of yourself, when stocks rally sharply